bargaining position also shrewdly included an insistence that their fresh contributions go into a new financial vehicle denominated as SDRs, partly to move away from the dollar and to signal their unwillingness to fund long-term funding needs until they won their part of the bargain.[110] A decade since the establishment of the group, the record of BRICS' collective endeavors in financial statecraft discussed in this book is not trivial, to the complete surprise of American and Western officials: this club has legs.

CLUBS WITH POWER ASYMMETRIES AND DOMINANT POWERS WITH OUTSIDE OPTIONS

A common characteristic of the BRICS and the G7 is that both feature a skewed distribution of power among the members. Although the properties of clubs permit heterogeneity of members in characteristics and capabilities, clubs with hegemons are distinct in at least three ways from other clubs where members possess roughly the same strength. First, hegemons may contribute relatively more to the provision of collective goods and promote regime stability when the potential costs of disruption to them are greater than the perceived costs of maintaining the regime.[111] Second, a high level of power asymmetries increases the possibility of inner clubs within the club for the most powerful or committed members. If remaining on the outside is costly, the mere threat to form an inner club limits the weakest members from gaining a veto over club policies or holding out for lowest-common-denominator outcomes. Otherwise, unanimity in such asymmetrical clubs would likely lead to stagnation at the level preferred by the weakest members.[112] A third scenario is when the preponderant member of the club exercises or threatens to exercise its outside options—including a credible threat of exit—to lock in a consensus.[113]

This rationalist logic also applies to dominant states when they create or join global governance institutions. By virtue of their exit options, they are willing to "delegate authority to international institutions, but . . . in ways that allow them to retain substantial degrees of control."[114] In other words, when group participants have conflicting preferences, only the most powerful players can pursue credible outside options by virtue of their ability and willingness to leave the bargaining table and "go it alone." Note that if the dominant player cannot achieve a deal close to its best